

FIRST OTTAWA BANCSHARES INC FOTB

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by

VC2020

2026 2027

Price:	227.00	EPS	0	0
Shares Out. (in M):	1	P/E	0	0
Market Cap (in \$M):	218	P/FCF	0	0
Net Debt (in \$M):	0	EBIT	0	0
TEV (in \$M):	218	TEV/EBIT	0	0

Description

First Ottawa is a small Chicagoland commercial bank. Insiders own about 30%, 20% of which was purchased on the open market in 2018 by the current CEO and his business partner. Actual insider ownership is higher as management requires its bankers to own stock. The bank is earning ~1.4%+ on assets (which is somewhat hidden as OREO expenses from pre-2018 loans will roll off by year end), 20% on equity, has compounded book value at 18% since 2018, and trades at just under 7.5x earnings. Credit quality has been sound with charge offs <0.15% for 10 years now (better than the national average) and also better than the banking industry's performance on C&I and real estate loans (where FOTB's focus is).

First Ottawa does not have a deposit franchise to be clear. Rather, the bank is capitalizing on market disruption in the small & middle market commercial / business customer niche. As banks continue to consolidate, First Ottawa brings on to their platform bankers and customers that don't want to be part of a larger slower moving entity and want a more bespoke high touch relationship. The strategy has worked: under current management (arrived in 2018), the bank has reinvested all of its earnings at attractive rates and grown book value at a high teens compounded rate. Management thinks this can continue as bank consolidation is a secular trend. Obviously at the current price continued growth isn't needed, but it appears it will continue.

Importantly, when bankers defect from their larger counterparts they are simultaneously required to purchase stock on the open market (often several hundred thousand dollars). In some cases, a banker's ownership in the bank has become their main asset. This says a lot about how employees feel at their jobs and also how they feel about prospects at First Ottawa.

Background:

Dan Miller and Joe Chiariello own about 20% of the shares outstanding of First Ottawa. Some background on them is necessary.

In 1987, Dan helped co-found a different Chicagoland bank called American Chartered and Joe was later brought in. Over the next 30 years they grew the bank and in 2015 sold it to MB financial for about \$450 million and ~2.2x book value - a healthy price. In 2018, MB financial was then bought by Fifth Third. That transaction did not go well as cultures clashed. Some former American Chartered employees as well as others that wanted more independence started leaving Fifth Third because they didn't like the "big bank, no relationship" culture of their new owner. Dan and Joe saw this happening and, once their noncompete was over, decided to buy 20% of First Ottawa on the open market to establish a platform to take advantage of the situation and give the bankers a new home. After purchasing the stake, bankers started to come to First Ottawa and were required to purchase equity ownership in the bank when they joined. Often this amounted to an investment >\$100k which is certainly no small amount for a bank loan officer.

First Ottawa as a result saw high growth and has now generated sufficient business to leverage their overhead and earn respectable rates of return -- most recently about 20% returns on equity and returns on assets solidly in the mid 1% range. Loans have also continued to grow at good rates as the borrowers that want more of a high touch relationship come to the bank and the bankers that want more independence leave their larger employers: loans grew 16% in 2025 after 16% in 2024, and as of Q2 2026 have grown about 13%.

First Ottawa does not have a deposit franchise to be clear. And I don't like fast growth in a financial as much as the next investor. So, when it comes to investing, we need to answer: (a) does their lack of deposit franchise necessarily mean they are stretching into riskier loans to earn returns and generate growth and (b) does their lack of deposit franchise necessarily mean they will earn less in the future due to deposit competition?

To (a): Over the past ~10 years - really since this process began - net charge offs have been lower than that of the banking industry average at <0.15%. The bank has also outperformed the industry on NCOs for its C&I and Real Estate loans (where the focus is). So on that basis alone they aren't taking more than average risk.

We can also look at Fifth Third specifically - who the bank has taken share from, at least in the first few years. At Fifth Third, the average non farm non res and C&I loan had net charge offs of about 0.12% and 0.35%, respectively since 2018 to today. Wintrust, a quite well run bank and probably the company's other closest Chicago based peer, had net charge offs of about 0.1% and 0.21%, respectively over the same period. For FOTB those numbers have been about 0.06% and 0.09%, respectively. So clearly FOTB did not gain share from Fifth Third (or other close peers) purely due to more lenient lending standards. In fact, the average C&I loan rate at FOTB has been 6.2% over this period vs. 5.4% at Fifth Third so all else equal one would think FOTB is actually deterring high quality borrowers.

So at the very least it appears they are able to charge higher rates (which ought to deter borrowers) and have lower charge offs. It'd be one thing if they charged higher yields and saw charge offs be a good bit higher, but that hasn't occurred.

It is also clear that a fairly significant portion of their growth is simply coming from bankers that already have books of business leaving their employers and bringing it all to First Ottawa. So in a sense, these can be thought of as "existing customers" which I think carries less risk than the alternative. In terms of ensuring proper risk, it also helps that >30% of the bank is owned by insiders and the loan officers themselves that did move were required to purchase equity ownerships.

To (b): I think the answer is also probably generally no -- again, they are focusing on those small / medium businesses that want more of a relationship, and it would appear that these borrowers are willing to accept slightly higher rates in exchange (particularly using the Fifth Third example). To date there also hasn't been any sign of compressing NIMs - in fact they just expanded again in Q2. Could they compress further? Sure, but at today's price I'm not sure that matters too much especially when further growth is probably likely.

The Numbers:

So here are some specific numbers for valuation.

NIM in the below is defined as net interest income / avg total assets. This incorporates some pretty dramatic rate changes so should be a decent guide as to how sensitive the balance sheet is, particularly the 2022-2025 period.

2026 through Q2: 3.80%

2025: 3.64%

2024: 3.49%

2023: 3.66%

2022: 3.78%

2021: 3.89%

2020: 3.75%

2019: 3.77%

Notably, net non interest expenses as % of assets have been steadily declining since 2019 as the strategy has continued to work and the business has leveraged fixed costs. Assuming an average NIM from the above of about 3.7% and today's level of net non-interest expenses to assets of about 1.7%, you get the bank earning about 2% on assets pre tax. Adding in a normalized level of provision expenses and you get ~1.3% ROA and solidly mid to high teens ROE.

If you want to use that method, the bank is trading at about ~8x that earnings figure and is still growing earning assets at a HSD/LDD clip with attractive returns on equity. I'd also highlight that this is a conservative measure -- NIMs moving forward should be higher than the past purely because the company has less leverage now than it did over the above timeframe.

You can also value this on just 1H annualized figures. NIMs so far this year have expanded such that YTD annualized earnings are running at about \$29.5 million. This is currently "hidden" because they have OREO expenses as a result of pre-2018 loans that should roll off this year. So this year it looks like the bank is trading just about 7.5x earnings and again is cheaper on a go forward basis as earning assets are going to continue growing and should exit the year higher than they are now.

What's it worth? My guess is at least 10x earnings, but even then you still have the bank growing at a HSD/LDD rate with attractive mid to high teens returns on equity. At that price you'd have at least \$310 per share in value. Perhaps it deserves more than that. MB Financial bought American Chartered (a less well run bank with worse metrics) at ~2.2x book value which would put fair value at ~\$340 per share. Fifth Third and Wintrust also trade at low double digit multiples of earnings. Who knows. Point is that no matter which way you look at it its cheap.

Without multiple expansion, I get returns ranging anywhere from mid to high teens of course depending on reinvestment rates (the high end assumes 10% growth and a 50% reinvestment rate). If all earnings are reinvested then you'd expect about 20%, but who knows how long that can continue (though at the moment it is). A mid to high teens return without multiple expansion strikes me as pretty attractive, especially when the bank on its own is probably worth 50% more than where it's trading right now. So if you want to view it differently, you could conclude that say over a 3-5 year period you'd get the mid to high teens compound return plus the 50% rerating. That's a high IRR.

Downside:

In terms of downside I see a few ways of thinking about it:

At the low end of NIM above you'd see a pre tax return on assets of about 1.6%. After tax that becomes about 1.2% ROA which equates to roughly \$25 million of earnings on a ~\$218 million market cap today or ~8.75x earnings. So depending on your view of interest rates, it seems like this is roughly what you might expect on the low end of a variety of interest rate cases.

In terms of real downside, I think even at the worst in terms of charge offs we're not going to see much in the way of hits to equity. Some quick background for how I've thought about this is necessary. During the GFC, American Chartered had a tough time. There are a few key differences to today (ex: one of the co-founders who I suspect was viewed less favorably by Dan is no longer involved), but mainly this time around Dan has made a number of changes to how things are run to avoid events like that again:

- the loan book has far less exposure to construction and development. It peaked at 16% prior to GFC and is <6% today
- where real estate loans are present, LTVs are lower
- loans are also further up the stack -- of single family loans currently on the books, 85% are first lien. Pre GFC that number was maybe 20%
- the best performing part of the loan book during the GFC has about a 30% larger allocation today (measured as % of loan book)

- tier 1 capital ratios are higher. It was low 7% leading up to GFC and today is ~9.5%. You see similar differences in risk weighted capital ratios as well
- despite a healthier balance sheet in general, FOTB has set loss reserves at a higher rate than they were for American Chartered. Reserves are running at 1.5% of loans while American Chartered's leading up to the GFC were 1.3%, again despite a far healthier loan mix

So, while I don't like poor performance during the GFC for a bank as much as the next investor, I do however like seeing that management has learned something and actually done something about it.

Now to the math:

The bank is generating about ~\$45 million of pre provision pre tax earnings. If you assume a net charge off rate of about 3% - roughly equivalent to peak charge off rates for American Chartered during the GFC applied to the current loan book (*read: likely conservative*) - provisions would run at about that number such that pre-tax earnings would be about \$0. Now there'd probably also be a step up in OREO expenses which I estimate are unlikely to be more than say \$10 million (this is more or less what they peaked at during the GFC for American Chartered, and even then a lot of the OREO expense had to do with the aforementioned construction loans). So at worst in a GFC type scenario it looks like you'd see about a \$10 million hit to equity or ~7% of book value, after which the bank would go back to earning whatever it was prior (or modestly lower). Holding through that wouldn't be a lot of fun, but if we're looking at long term business returns it seems to me they would not have changed much for existing shareholders.

In a more normal recession, the bank would almost certainly be profitable. For what its worth, American Chartered was profitable in every other recession -- charge offs really didnt go up any significant degree during the dotcom bust or the banking crisis of the early 1990s and the bank did perfectly fine and grew through it.

So, the bank is priced at about 7.5x earnings, is earning a ROE of 20% and an above average ROA, and is reinvesting at those rates to grow LDD at least. We can debate how long the business can continue growing at the current rate as a result of Fifth Third / continued bank consolidation fallout, but the point overall is that (1) it looks like its continuing (bank consolidation is a trend that is definitely not going away), (2) you don't need much growth to do well, and (3) downside should be relatively low...for a bank anyway. In the meantime, if they continue reinvesting at the rate they have been, the returns look quite attractive.

What are the risks?

Well it's a bank. Longevity relies almost entirely on the quality of loans made. With that, I take solace in the fact that Dan has intentionally made a number of more conservative changes to how he thinks about banking given his experience. That plus the fact that he expects to be around for the long haul and the team has a pretty material investment in the equity gives me some confidence, as well as the "stress tests" outlined above.

The other is that there is a concentration in the Chicagoland area. So anything specifically impacting IL / the Midwest would hurt them.

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Catalyst

- Time

- Continued market share gains from disruptions caused by bank consolidation

Messages

No messages